***Leanne White vs. CoastHills Federal Credit Union,* 24CV-0194**

Hearing: **Motion for Approval of PAGA Settlement**

Date: **July 30, 2026**

TENTATIVE RULING

Leanne White (Plaintiff) was employed by CoastHills Federal Credit Union dba CoastHills Credit Union (CoastHills) as a non-exempt hourly employee. (First Amended Complaint (FAC) ¶ 2.)

On March 27, 2024, Plaintiff filed a class action against CoastHills. On May 31, 2024, a FAC was filed adding a twelfth cause of action under the Private Attorneys General Act of 2004, California Labor Code section 2698, *et seq*. ("PAGA"). Pursuant to an arbitration agreement that Plaintiff signed while employed, the class allegations were dismissed by Plaintiff on December 17, 2024. (Kim Dec., ¶ 7.) On May 13, 2025, the parties participated in a mediation with mediator Brandon McKelvey and reached a settlement of the action. (*Id*., ¶ 11, 12.)

Before the Court is Plaintiff's motion for approval of the PAGA settlement. Plaintiff served the Labor and Workforce Development Agency (LWDA) with the settlement on March 12, 2026. (Kim Dec., ¶ 54, Ex. 6.)

I. LEGAL STANDARD

Labor Code section 2699, subdivision (s)(2) provides that the "court shall review and approve any settlement of any civil action filed pursuant to this part. The proposed settlement shall be submitted to the agency at the same time that it is submitted to the court." (Lab. Code, § 2699, subd. (s)(2).) The court "should evaluate a PAGA settlement to determine whether it is fair, reasonable, and adequate in view of PAGA's purposes to remediate present labor law violations, deter future ones, and to maximize enforcement of state labor laws." (*Moniz v. Adecco USA, Inc*. (2021) 72 Cal.App.5th 56, 77, disapproved on other grounds in *Turrieta v. Lyft, Inc*. (2024) 16 Cal.5th 664.) Many of the factors relevant to evaluate class action settlements, such as "the strength of the plaintiff's case, the risk, the stage of the proceeding, the complexity and likely duration of further litigation, and the settlement amount" can be "useful in evaluating the fairness of a PAGA settlement." (*Id*.)

"In a lawsuit brought under the act, the employee plaintiff represents the same legal right and interest as state labor law enforcement agencies—namely, recovery of civil penalties that otherwise would have been assessed and collected by the Labor Workforce Development Agency." (*Arias v. Superior Court* (2009) 46 Cal.4th 969, 986.)

II. THE PROPOSED SETTLEMENT

The terms of the PAGA settlement provide that CoastHills shall pay $224,000.00. (Kim Dec., ¶ 15.) Costs to be deducted from that amount are: (1) attorneys' fees of $74,666.6 (1/3 of the gross settlement amount); (2) attorneys' litigation costs of $20,372.78; (3) settlement administration costs of $4,990.00; (4) $123,970.55 in PAGA penalties, which will be allocated 75% ($92,977.91) to the LWDA and the remaining 25% ($30,992.64) to the Aggrieved Employees. (*Id.*)

"Aggrieved Employees" is defined as "all current and former non-exempt hourly employees employed by Defendant in the State of California during the PAGA Period." (Kim Dec., ¶ 14.) The "PAGA Period" is the period from March 27, 2023 to July 15, 2025. (*Ibid.*, Exhibit 1, ¶¶ 1.4, 1.19.) Plaintiff estimates there are 297 Aggrieved Employees who worked approximately 11,038 eligible pay periods for CoastHills during the PAGA Period. (*Id.*)

The Settlement Agreement includes an escalator clause providing that "[i]f the number of pay periods during the PAGA Period is more than 10% greater than this figure (i.e., if there are 12,142 or more pay periods), Defendant shall increase the Gross Settlement Amount by the percentage increase in the number of pay periods above 10%. (*Id.*) Alternatively, Defendant may choose to modify the end date of the PAGA Period to the date on which the number of pay periods does not exceed 12,142. (*Id.*)" (Kim Dec., ¶ 14, Ex. 1, ¶ 4.1.) Plaintiff submits no plan for seeking Court approval should this occur and Defendant opts to shorten the PAGA period. In other words, a change in the PAGA period would render the settlement no longer approved by the Court.[1]

The PAGA penalties to be paid to the Aggrieved Employees will be paid on a pro rata basis "calculated according to the number of Pay Periods the Aggrieved Employee worked during the PAGA Period." (See Kim Dec., ¶ 15c, Ex. 1, ¶ 1.11.) The average payment to each Aggrieved Employee will be approximately $104.35. (*Ibid.*)

III. REASONABLENESS OF THE SETTLEMENT

The parties attended mediation on May 13, 2025, conducted by mediator, Brandon McKelvey. (Kim Dec., ¶ 11.) Plaintiff's counsel reports that the parties "exchanged further information and discussed all aspects of the case, including Plaintiff's claims, Defendant's defenses, procedural challenges in this case, and the prospects of further litigation." (*Ibid.*) The parties reached a settlement following extensive arm's length negotiations. (*Id.,* ¶ 13.) "The Parties believe and agree that the PAGA Settlement provides for a fair, adequate, and reasonable resolution of the Action and have arrived at the Settlement after extensive, arm's length negotiations, considering all relevant factors, present and potential. PAGA Counsel believes that the Settlement confers real benefits upon the State and Aggrieved Employees and that an independent review of the Settlement by the Court in the approval process will confirm this conclusion." (*Ibid.*)

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[1] While escalator clauses are often included in class action settlements there is a two-part approval process, preliminary and final approval, which allows the Court to review and approve or deny a change in the class period. There is no second Court approval here.

"Plaintiff estimated that the maximum potential exposure on the PAGA claim is $1,103,800.00, calculated by multiplying the total number of PAGA Pay Periods (11,038) by $100 per violation. Plaintiff's calculation of the total potential exposure on the PAGA claim was based on one PAGA penalty per PAGA Pay Period (i.e., Plaintiff did not stack the PAGA penalties in their damages calculation)." (Kim Dec., ¶ 20.)

Notwithstanding these estimates, the Court has discretion to reduce the amount of penalties. CoastHills denies it committed any misconduct, and denies all claims alleged against it in this Action. (Kim Dec., ¶ 18.) Plaintiff has shown her attorneys are experienced with this type of litigation. (*Id*., ¶¶ 38-49.)

Having reviewed the claims at issue, Plaintiff's arguments in the memorandum of points and authorities, and the evidence submitted in support of the motion, the Court finds the proposed settlement is reasonable.

IV. RULING

The motion is granted subject to Plaintiff seeking further approval, if the escalator is triggered resulting in the settlement amount increasing. (Kim Dec., ¶ 14, Ex. 1, ¶ 4.1.)

Plaintiff is directed to submit a copy of this Court's order approving the PAGA settlement to the LWDA within 10 days after entry of the order. (Lab. Code, § 2699, subd. (s)(3).)